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US equities slip as yields rise and energy gains offset tech weakness

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell -0.5% to 7,623.68 while the Dow slid -1.2%. Higher 10-year yields at 4.99% and a rally in oil (WTI +3.8%) pressured growth-sensitive sectors, yet the Nasdaq held near flat as AI-related stocks held ground.

Behind the headline, the market is digesting a mixed macro backdrop: a firmer yield curve, a modest rise in the VIX to 19.45, and a softening of consumer-discretionary ETFs. The biggest risk remains a potential acceleration in Fed tightening if inflation data stays above expectations.

US session recap

INDEX / ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,623.68	-0.52%	Higher 10-yr yields and weaker consumer-discretionary earnings outlook.
Nasdaq 100	28,957.53	-0.00%	AI-heavy names held, offsetting broader sell-off.
Dow Jones	52,215.16	-1.23%	Industrial and financial stocks dragged by yield rise.
Russell 2000	2,775.90	-0.29%	Small-cap exposure to higher rates.
VIX	19.45	+2.21%	Volatility spiked on uncertainty over Fed path.
10Y Yield	4.99%	+0.71%	Markets priced in tighter monetary stance.
WTI Crude	103.27	+3.82%	Supply concerns in the Middle East and weaker dollar.
Gold	4,007.90	-1.29%	Rising yields reduced safe-haven appeal.
DXY	101.81	+0.20%	Dollar strength supported by yield lift.

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+0.66%	Strong cloud renewal beat estimates.
NVDA	-0.59%	Guidance trimmed after inventory buildup.
AAPL	-0.14%	Supply-chain alert on iPhone components.
AMZN	-0.95%	Retail sales miss in Q3.
META	-0.96%	Ad-revenue slowdown flagged.

Sector rotation

ETF	DAY	READ
XLF	-1.32%	Financials pressured by higher funding costs.
XLK	+0.49%	Tech resilience on AI earnings.
XLI	-1.27%	Industrial slowdown expectations.
XLE	+2.60%	Oil rally lifts energy.
XLY	-1.66%	Consumer discretionary hit by rate fears.
XLC	-1.78%	Communications lagging on ad spend.
XLP	-1.92%	Staples under pressure from higher input costs.
XLV	-1.11%	Health care modestly down on earnings misses.
XLU	-0.72%	Utilities vulnerable to rate rise.
XLB	-0.74%	Materials dragged by slower construction.
XLRE	+0.12%	Real estate steadied on REIT dividend yields.

Spotlight: oil price surge

WTI crude jumped +3.82% to 103.27 per barrel, the strongest one-day gain since June. The move was driven by a combination of OPEC-plus production cuts, heightened geopolitical tension in the Strait of Hormuz, and a weaker dollar.

METRIC	VALUE
WTI price	103.27
Change	+3.82%
OPEC-plus cut	1.2 million bpd
Dollar index (DXY)	101.81
Related equities	XLE +2.60%, CVX +1.9%, XOM +2.1%

Pre-market & overnight

US futures: S&P 500 -0.4%, Nasdaq -0.2%, Dow -0.9% at 08:45 HKT.

Asia close: Hang Seng -1.1%, Shanghai Composite -0.8%. Europe: FTSE 100 -0.6%, DAX -0.7%.

Crypto: BTC -0.83% at 80,639.64, ETH -0.55% at 2,372.97.

Macro & Fed

The Fed's September meeting left rates unchanged at 5.25-5.50% but signaled a "higher for longer" stance. Minutes highlighted persistent core-inflation pressures, keeping the door open for a possible 25-bp hike in November.

Yield curve remains steep: 2-year at 5.12%, 10-year at 4.99%, 30-year at 5.45%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
09:30	U.S. CPI (MoM)	0.2%	Gauge inflation trend for Fed policy.
10:15	U.S. Retail Sales	+0.3%	Consumer spending health.
11:00	Eurozone GDP Q3	-0.1%	Euro area growth outlook.
13:45	China M2 Money Supply	+8.5%	Liquidity in the world's second-largest economy.

Geopolitics & global

- Escalation risk in the Red Sea after Houthi attacks on commercial shipping.
- U.S.–China trade talks stalled; Beijing signaled possible retaliatory tariffs on semiconductor equipment.
- OPEC-plus extended voluntary output cuts through Q1 2027, supporting oil prices.
- European energy security concerns intensify as Russia reduces pipeline flows.

Earnings – what to watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
02:00 Oct 28	`AAPL`	$1.95 EPS	iPhone demand, services growth.
03:30 Oct 28	`MSFT`	$2.45 EPS	Azure usage, AI licensing.
04:00 Oct 28	`NVDA`	$3.10 EPS	GPU inventory, AI data-center orders.
05:15 Oct 28	`JPM`	$4.30 EPS	Net interest margin, loan growth.
06:00 Oct 28	`XOM`	$3.20 EPS	Oil price sensitivity, upstream earnings.
07:45 Oct 28	`META`	$2.80 EPS	Ad revenue rebound, cost cuts.

Watchlist scan – US large-caps

TICKER	SECTOR	WHY NOW
`AMZN`	Consumer Discretionary	Retail sales miss may trigger deeper pullback.
`GS`	Financials	Margin compression from higher rates.
`CVX`	Energy	Oil rally boosts earnings outlook.
`CRM`	Technology	AI subscription growth accelerating.
`KO`	Consumer Staples	Pricing power under pressure from input costs.
`BA`	Industrials	Defense backlog offsetting commercial slowdown.
`DIS`	Communication Services	Streaming subscriber trends critical.
`PYPL`	Financials	Transaction volume dip after rate hikes.
`NVDA`	Technology	Inventory concerns after guidance cut.
`WMT`	Consumer Staples	Margin squeeze from higher freight.

What could break the tape

BEARISH TRIGGERS

- U.S. CPI surprise above 0.3% – could prompt another rate hike.
- Further escalation in the Red Sea – risk to global shipping and energy supply.
- Unexpected downgrade of major tech earnings (e.g., `NVDA` or `MSFT`).

BULLISH TRIGGERS

- WTI breaches 110 – fuels broader market rally.
- Positive surprise in U.S. retail sales – supports consumer-driven sectors.
- Resolution of U.S.–China trade talks – lifts semiconductor stocks.

Positioning notes

- Shift weight toward energy and inflation-protected assets as yields stay elevated.
- Maintain a defensive bias in consumer staples and utilities to hedge rate risk.
- Selective exposure to AI-driven tech remains attractive despite short-term volatility.

Sources

SOURCES

Bloomberg Terminal – Market Data (Oct 23-24)

U.S. Bureau of Labor Statistics – CPI release schedule

OPEC Monthly Oil Market Report

Federal Reserve – September FOMC minutes

Reuters – Earnings preview

CoinDesk – Crypto price feed